in India. The European powers in India since 16th century are given below:

Portuguese	1505-1961
Dutch East India Company (Netherlands)	1605-1825
Danish East India Company (Denmark)	1620-1869
French East India Company	1668-1954
British East India Company	1612-1757
British Company Rule	1757-1857
British Imperial Rule	1858-1947

In the rivalry among four major European powers – Portuguese, Dutch, French and English – the English, after three Carnatic Wars, eliminated the French by the end of the eighteenth century. The British conquered all the regional powers, in particular the most potential challengers, the Mysore Sultans and the Marathas, by defeating them in three Anglo-Mysore and three Anglo-Maratha Wars. The conquest of the Gurkhas (1816), the Sindhis (1843) and the Sikhs (1849) enabled them to emerge as a territorial power in India.

The Colonialisation of Indian Economy

We can divide the process of the colonialisation of India into three phases

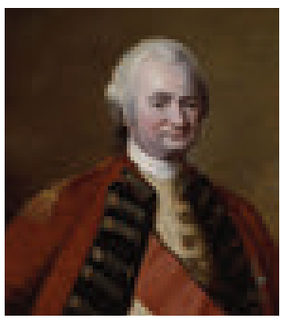
a. Phase I Mercantilist Capitalism

b. Phase II Industrial Capitalism

c. Phase III Financial Capitalism

a. Colonialisation of Indian Economy: Mercantilist Phase (Outright Plunder; 18th Century).

At the beginning of the 18th century the East India Company was still a marginal force in India. It relied on concessions from Indian rulers for its trading posts along the coast. But soon it managed to establish strong ties with Indian merchants who sold their textiles and other goods from the interior. Before it gained dominion in India the East India Company carried on a very profitable business selling Indian-made cotton textiles and silks and printed cloth. According to the Indian nationalist economist R.C. Dutt, "weaving was the national industry of the people and spinning was the pursuit of millions of women". Indian textiles went to England and other parts of Europe, to China and Japan and Burma and Arabia and Persia and parts of Africa. It was during this period that the textile lobby in Lancashire and Birmingham succeeded in making the Parliament enact a law prohibiting the import of Indian textiles. Those who were found in possession of or dealing in Indian cotton goods were fined 200 pounds.


Robert Clive

In the 1750s and the early 1760s, Robert Clive gained control of the wealthiest part of the old Mughal Empire. The Company exacted concessions such as exemption of Company goods from transit duties, which even Indian merchants had to pay. After the Battle of Plassey (1757), the Company got 1.2 million pounds out of which Clive himself took 31,500 pounds besides a jagir which provided an annual income of 27,000 pounds. After the Battle of Buxar (1764), the Murshidabad treasury was looted. The Company acquired the Diwani right in 1765 and became the revenue farmer of the Mughal Emperor.

b. Industrial Capitalist Phase: 1st half of the Nineteenth Century

By the beginning of nineteenth century the Company had emerged as a territorial power. During this period India was converted into a market for British textiles

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